In a 1st, UPI average daily value crossed ₹1 trn

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The average daily value of Unified Payments Interface (UPI) transactions crossed ₹1 trillion for the first time in October, coinciding with the start of the festive season. The average daily volume stood at 822 million transactions during the month, also the highest for UPI.

October clocked 25.47 billion transactions, around 23 per cent higher than the 20.7 billion transactions recorded in October 2025. Transactions worth ₹31.53 trillion were processed in October 2026, 16 per cent higher than the ₹27.27 trillion processed in October 2025.

The focus on UPI's volume and value comes at a time when a proposed merchant discount rate (MDR) is set to be levied on select person-to-merchant (P2M) transactions after Diwali.

"The festive season drove this rise. Navratri and the big online sales fell in October, and people used UPI for bigger festive purchases along with their everyday payments. From April to August, the number of UPI payments kept rising, but their daily value stayed flat and the average payment kept getting smaller. In September and October, the value of payments grew faster than their number, and the average payment size went up for two months in a row," said Reeju Datta, co-founder, Cashfree.

In September, 24.06 billion transactions worth ₹29.37 trillion were processed. In August, 24.5 billion payments amounting to ₹29.82 trillion were processed.

Industry executives said the long-term sustainability of the payments system was critical, especially during peak consumption periods such as the festive season.

"The proposed Merchant Discount Rate (MDR) framework, initially scheduled for October 15 and reportedly deferred until after Diwali, brings an important question around the long-term sustainability of India's digital payments infrastructure to the forefront. As transaction volumes rise during peak consumption periods, it is important to keep digital payments affordable for consumers and merchants while ensuring the ecosystem remains commercially sustainable," said Akshay Mehrotra, managing director and group chief executive officer, Fibe.